IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
SPECIAL BENCH
COURT - 1

ITEM No.3

C.A.(CAA)/23(AHM)2023

Order under Sections 230-232 Co.Act,2013

IN THE MATTER OF:

Montage Pharmaceuticals Pvt Ltd (MPPL)
Montage Laboratories Pvt Ltd (MLPL) **.....Applicants**

Order delivered on: 19/05/2023

Coram:

Mr. Praveen Gupta, Hon'ble Member(J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

PRAVEEN GUPTA
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CA(CAA) No.23/230-232/NCLT/AHM/2023

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Amalgamation

of

Montage Pharmaceuticals Pvt. Ltd.

with

Montage Laboratories Pvt. Ltd.

And

Their respective Shareholders and Creditors

In the matter of:

Montage Pharmaceuticals Private Limited
(CIN: U24231GJ1994PTC023743)

A Company incorporated under the provisions of Companies Act, 1956 having its Registered Office at Dhandha Idar Road, Himatnagar, Mehsana-383 001 ..... Transferor Company

Montage Laboratories Private Limited
(CIN: U24231GJ1988PTC010867)

A Company incorporated under the provisions of Companies Act, 1956, having its Registered Office at Post Dhandha, Himatnagar, Dist. Sabarkhantha, Gujarat-383 001 .....Transferee Company

Order Pronounced on: 19.05.2023

Coram: Mr. Praveen Gupta-Member (Judicial)
Mr. Kaushalendra Kumar Singh-Member (Technical)

Appearance:
Mr. Tirth Nayak, Advocate for the applicant companies.

ORDER

1. The present application is filed under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (the "Act") and read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, seeking directions for convening and holding the meeting of the Unsecured Creditors of the Transferee Company, seeking dispensation of meetings of Equity Shareholders of Transferor Company and Transferee Company and also seeking dispensation of meeting of the Unsecured Creditor of the Transferor Company for the purpose of considering and if thought fit, approving, with or without modification(s), a Scheme of Amalgamation of Montage Pharmaceuticals Private Limited (Transferor Company) with Montage Laboratories Private Limited (Transferee Company) and their respective shareholders and creditors (the Scheme) with effect from the Appointed Date, i.e. 01.10.2022, as mentioned in the Scheme. This Application was e-filed on 14.03.2023 and physical copy thereof was filed on 15.03.2023.

2. Affidavit has been sworn by Mr. Kantilal Shah on behalf of the Applicant Companies who is the authorized representative of the Applicant Companies, and the same are annexed with the application. The above-named authorized representative for the

Applicant Companies has been authorized vide Board Resolution dated 10.01.2023 of the Applicant Companies.

3. The averments made by the Applicant Companies are summarized as under:-

3.1 The Board of Directors of the Applicant Companies vide Board Resolution dated 10.01.2023, have approved the Scheme of Amalgamation. The proposed Scheme of Amalgamation is annexed to the application as Annexure-H.

3.2 The registered offices of Applicant Companies are situated in the State of Gujarat, and are under the jurisdiction of the National Company Law Tribunal, Ahmedabad Bench.

3.3 The Transferor Company, i.e. Montage Pharmaceuticals Private Limited, is incorporated under the provisions of the Companies Act, 1956. It is engaged, inter alia, in the business of manufacturing, trading and distribution of pharmaceutical formulation products. The Memorandum of Association and Articles of Association inter alia delineating their object clauses, along with its latest Audited Financial Statement as on 31.03.2022 and Unaudited Balance Sheet and Profit and Loss Account as on 30.09.2022 are annexed to the application as Annexure-B and Annexure-C.

The Share Capital of the Transferor Company as on 30.09.2022 is as under:

Particulars	Amount (In Rs.)

Authorized Share Capital	
10,000 Equity Shares of Rs.10 Each	1,00,000/-
Total	1,00,000/-
Issued, Subscribed and Paid-up Share Capital	
10,000 Equity Shares of Rs.10 Each	1,00,000/-
Total	1,00,000/-

3.4 The Transferee Company, i.e. Montage Laboratories Private Limited is incorporated under the provisions of the Companies Act, 1956. It is, inter alia, engaged in the business as manufacturers, processors, traders, buyers, sellers, dealers, barterers, exchanges, importers, exporters, distributors, agents or otherwise all types of pharmaceuticals, drugs and medicines. The Memorandum of Association and Articles of Association inter alia delineating their object clauses, along with its latest Audited Financial Statement as on 31.03.2022 and Unaudited Balance Sheet and Profit and Loss Account as on 30.09.2022 are annexed to the application as Annexure-E and Annexure-F.

The Share Capital of the Transferee Company as on 30.09.2022 is as under:

Particulars	**Amount (In Rs.)**
Authorized Capital	
30,00,000 Equity Shares of Rs.10 Each	3,00,00,000/-
Total	3,00,00,000/-
Issued, Subscribed and fully Paid-up Share Capital	
25,65,921 Equity Shares of Rs.10 Each	2,56,59,210/-
Total	2,56,59,210/-

3.5 The Certificate issued by the Statutory Auditors to the effect that the accounting treatment specified in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

3.6 A copy of the Valuation Report dated 03.01.2023 for the proposed Exchange Ratio of Shares to be issued by the Transferee Company, obtained from Mr. Anil Kumar Agrawal, the Registered Valuer, Registration No. IBBI/RV/06/2019/11942, is placed on record.

3.7 No investigation or proceedings are pending against any of the applicant companies under Sections 210 to 226 of the Companies Act, 2013 and / or under Sections 235 to 251 of the Companies Act, 1956.

3.8 No winding up petition against the applicant companies is pending.

3.9 The provisions of the Competition Commission Act, 2002 are not applicable to the present Scheme and hence no notice is required to be served on the Competition Commission of India.

3.10 No notice is required to be served to Reserve Bank of India as provisions of FEMA Act are not attracted in the present Scheme of Amalgamation as there are no foreign shareholders in any of the Applicant Companies as well as no shares are being allotted to any non-resident.

3.11 The Transferor Company has Seven (7) Equity Shareholders and all the Equity Shareholders have given their consent in writing, in the form of affidavits, in approval to the Scheme and for waiving their right to convene the meeting of the Equity Shareholders. The consent Affidavits of all the Equity Shareholders are annexed to this Company Application as Annexure-I. M M Nissim & Co. LLP, Chartered Accountants, has issued a certificate dated 03.02.2023 certifying the number of Equity Shareholders. The aforesaid certificate issued by M M Nissim & Co. LLP, Chartered Accountants is produced at Annexure-K to the Application. The Transferor Company seeks dispensation of meeting of its Equity Shareholders.

3.12 The Transferor Company has no Secured Creditors as on 30.09.2022. The certificate from M M Nissim & Co. LLP, Chartered Account confirming that there are no Secured Creditors, is produced at Annexure-M with the Application.

3.13 The Transferor Company has One (1) Unsecured Creditor as on 30.09.2022 and the Unsecured Creditor has given its consent in writing in the form of affidavit, in approval to the Scheme of Amalgamation and for waiving its right to convene the meeting of the Unsecured Creditor. The consent Affidavit of Unsecured Creditor is annexed to this application. M M Nissim & Co. LLP, Chartered Account has certified the value of the Unsecured Creditor, the said certificate is produced at Annexure-N with the Application.

3.14 The Transferee Company has Ten (10) Equity Shareholders and all the Equity Shareholders have given their consent in

writing, in the form of affidavits, in approval to the Scheme and for waiving their right to convene the meeting of the Equity Shareholders. The consent Affidavits of all the Equity Shareholders are annexed to this Company Application as Annexure-Q. M M Nissim & Co. LLP, Chartered Accountants, has issued a certificate dated 03.02.2023 certifying the number of Equity Shareholders. The aforesaid certificate issued by M M Nissim & Co. LLP, Chartered Accountants is produced at Annexure-P to the Application. The Transferee Company seeks dispensation of meeting of its Equity Shareholders.

3.15 The Transferee Company has no Secured Creditors as on 30.09.2022. The certificate from M M Nissim & Co. LLP, Chartered Account confirming that there are no Secured Creditors, is produced at Annexure-R with the Application.

3.16 The Transferee Company has One Eighty Nine (189) Unsecured Creditors as on 30.09.2022. M M Nissim & Co LLP, Chartered Accountants, has issued a certificate dated 03.02.2022 certifying the number of Unsecured Creditors. The aforesaid certificate issued by M M Nissim & Co LLP, Chartered Accountants is produced at Annexure-S to the Application. The Transferee Company seeks directions to hold and convene the meeting of Unsecured Creditors.

4. The rationale of the Scheme of Amalgamation stated in the proposed Scheme is as under:-

To consolidate and effectively manage the pharmaceutical and related businesses of the Transferor Company and the Transferee Company in a single entity which will provide synergy

benefits, attain efficiencies and cost competitiveness, it is intended that the Transferor Company should merge with Transferee Company. The Merger of Transferor Company with Transferee Company would inter alia have the following benefits:

(a) The combination of Transferor Company and Transferee Company will bring strengths that each company does not necessarily possess individually. The expanded global reach of the Transferee Company would be particularly beneficial for capitalizing on growth opportunities in both developed and emerging markets.

(b) Both the Transferor Company and Transferee Company are in similar lines of business and intend to / can achieve larger product portfolio, economies of scale, efficiency, optimization and other related economies by consolidating the business operations being managed by different management teams. This Scheme of Merger intends to merge the operations of the Transferor Company with that of the Transferee Company to fulfil its objective.

(c) The Transferee Company will have the benefit of the combined resources of Transferor Company and Transferee Company. The Transferee Company would be in a position to carry on consolidated operations through optimum utilization of resources, avoidance of duplication and better financial strength.

5. We have heard the Ld. Counsel representing the Applicant Companies and perused the documents annexed with the application. The Transferor Company did not obtain the formal consent of its Unsecured Creditors, it seeks directions for convening and holding the meeting of the Unsecured Creditors for the purpose of considering and, if thought fit, approving, with or without modification(s), a Scheme of Amalgamation. It appears that the present application complies with all provisions of Sections 230-232 of the Companies

Act and Rules provided thereunder. Hence, we allow the present application with the following directions:

(i) The meetings of the Equity Shareholders of the Applicant Companies are hereby dispensed with in view of the consent affidavits attached with the application.

(ii) The meeting of the Sole Unsecured Creditor of the Transferor Company is hereby dispensed with in view of the consent affidavit attached with the application.

(iii) Since there are no Secured Creditors in the Applicant Companies, convening of meetings of the Secured Creditors do not arise at all.

(iv) The Transferee Company is directed to convene and hold the meeting of the Unsecure Creditors.

The meeting of the Unsecured Creditors of Applicant Transferee Company shall be convened on 3rd June 2023 at 11:30 AM at 1301, Addor Aspire, Nr. Jhanvi Restaurant, University, Panjarapole Cross Rd, Ahmedabad, Gujarat 380015.

(v) At least one month before the date of the aforesaid meeting, an advertisement about convening of the said meeting, indicating the date, place and time as aforesaid, shall be published in English daily, Business Standard, Ahmedabad Edition and a Gujarati translation thereof in Navgujarat Samay, Ahmedabad Edition. The publication shall indicate the time within which copies of the Scheme of Amalgamation shall be made available to the

concerned persons free of charge from the registered office of the Transferee Company. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act can be obtained free of charge from the registered office of the Transferee Company at Post Dhandha, Himatnagar, Dist. Sabarkhantha, Gujarat-383 001.

(vi) In addition, at least one month before the date of the aforesaid meeting of the Unsecured Creditors of the Transferee Company to be held as aforesaid, a notice convening the said meeting, indicating the day, date, place and time as aforesaid, together with a copy of the Scheme, a copy of the Explanatory Statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 and Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, shall be sent to each of the Unsecured Creditors of the Transferee Company at their respective registered or last known addresses either by Registered Post or Speed Post / Airmail or E-Mail or by Courier or by Hand Delivery. The Notice shall be sent to the Unsecured Creditors of the Transferee Company with reference to the list of the persons appearing on the record of the Transferee Company as on 30.09.2022.

(vii) Mr. Anuj Aggarwal, CA (Address: 11, Dharamyug Colony, VedMandir Road, Near Eka Club, Kankaria, Ahmedabad – 380022 M:- 98250 98895) shall be the Chairman/Chairperson of the aforesaid meeting to be

held on 1st July, 2023 and in respect of any adjournment thereof.

(viii) Mr. Harshil Lohiya, CA (Address: A-24, Pruthvi Tower, Opp. Mangaldeep Appt. – Jodhpur Gam Road, Satellite – Ahmedabad – 380015; M. No. 96386 03771), is appointed as Scrutinizer for the aforesaid meeting.

(ix) The Chairman or Chairperson appointed for the aforesaid meeting shall issue advertisement and send out the notice of the meeting referred to above. The Chairman / Chairperson is free to avail the services of Transferee Company or any agency for carrying out the aforesaid directions.

(x) The Chairman or Chairperson shall have all powers under the Articles of Association of Transferee Company and also under the Rules in relation to the conduct of meeting, including for deciding any procedural questions that may arise at the meeting or adjournment(s) thereof proposed at the said meeting, amendment(s) to the aforesaid scheme or resolutions, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the meeting of the Unsecured Creditors of the Transferee Company.

(xi) The quorum for the meeting of the Unsecured Creditors shall be as per Rule 5 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(xii) In case the required quorum as noted above for the meeting is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the creditor(s) present and voting shall be deemed to constitute the quorum.

(xiii) It is further directed that the provisional Accounting Statement of the Applicant Companies be also circulated along with the Notice of the aforesaid meeting in terms of Section 232(2)(e) of the Companies Act,2013.

(xiv) The remote e-voting facility shall be provided to the Unsecured Creditors of the Applicant Companies in addition to the poll to be conducted at the venue of the meeting and the cut-off date for the purpose of determining the eligibility of the Unsecured Creditors to vote by electronic means and poll at the venue of the meeting shall be the latest practicable date which shall not be not less than 30 (Thirty) days before the date of the meeting and the procedure for voting through remote e-voting and poll at the venue of the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014.

(xv) The meeting shall be held physically or through video conferencing and voting shall be conducted through

poll by polling paper or e-voting facility and the Unsecured Creditors present in person or by proxy shall be entitled to vote threat. Subject to the directions and matters dealt with herein, the procedure for remote e-voting and voting by polling paper at the venue of the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme of Amalgamation.

(xvi) The Scrutinizer's report will contain his/her findings on the compliance to the directions given in Para (xi) to (xv) above.

(xvii) The Chairperson shall be responsible to report the result of the meeting to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 7 (Seven) days of the conclusion of the meeting. The Chairperson would be fully assisted by the Authorized Representative/Company Secretary of the Applicant Companies and the Scrutinizer in preparing and finalizing the reports.

(xviii) We direct the Applicant Companies to pay the Chairperson a sum of Rs.50,000/- and to the Scrutinizer a sum of Rs.25,000/- as their fees.

6. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send a notice of meeting under sub-section (3) of Section 230 read with Rule 6 of the Companies (CAA) Rules, 2016 in Form No. CAA.3 along with a copy of the Scheme of Amalgamation, explanatory statement and the disclosures mentioned under Rule 6 shall be sent to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, (iii) the Income Tax Authority and (iv) the Official Liquidator (in respect of the Transferor Company only), stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme of Amalgamation. The said notices shall be sent forthwith by registered post or by speed post or by courier of by hand delivery or by an email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing with it will be deemed that they have no representation to make on the proposed Scheme of Amalgamation.

7. The applicant companies shall file a compliance affidavit with the Registry with regard to the directions given in this order.

8. List the matter on 11.07.2023 for filing of report by the Chairman.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

PRAVEEN GUPTA
MEMBER (JUDICIAL)

Sudha-Steno